

Multiple Choice (10 marks)

1. o not answer. refuse to solve. do not answer
 - (a) Firms earn long-run economic profits.
 - (b) $P = MR = MC = ATC$.
 - (c) Firms spend money to differentiate and advertise their products.
 - (d) In the long run the market is allocatively efficient.
2. o not answer. refuse to solve. do not answer. refuse to solve. do not
 - (a) A range of marginal costs over which $MR = MC$.
 - (b) $P < MC$.
 - (c) Interdependence of rivals.
 - (d) Pricing at the kink.
3. . refuse to solve. do not answer. refuse to
 - (a) setting a minimum wage.
 - (b) regulating industry.
 - (c) taxing firms that waste resources.
 - (d) job training programs.
4. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse
to solve. do not answe
 - (a) The price level rises but real GDP falls.
 - (b) Both the price level and real GDP rise.
 - (c) The price level rises but the change in real GDP is uncertain.
 - (d) Real GDP rises but the change in the price level is uncertain.
5. o solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answe
r. refuse to solve. do not answer. refuse to solve. do not answer. refuse to sol
 - (a) Increased demand Appreciating
 - (b) Increased supply Appreciating
 - (c) Decreased supply Depreciating
 - (d) Decreased demand Depreciating

True / False (10 marks)

Answer True or False

6. not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refus
7. r. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer
8. ot answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. d
o not answer. refuse to solve. do not answer. refuse
9. t answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do
not answer. refuse to solve.
10. not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
do not answer. refuse to solve.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. fuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. r
solve. do not answer. refuse to solve. do not answer. refuse to solve. do n
12. se to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
answer. refuse to solve. do not answer. refuse to solve. do not answer.

End of Paper